

Booking Q4 2025 Earnings

Blind Sentiment & Directional Score: Earnings call Q&A only

David Eji

July 30, 2026

Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Earnings call Q&A only** as the **ONLY** report content. The other sections (the reported financial results, forward guidance) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Booking Holdings Inc. (BKNG)
Report	Q4 2025
Release date	Wednesday 18 February 2026, after close
Earnings call	4:30pm ET
Source	Motley Fool transcript
Read mode	cold; earnings call Q&A extracts only, no reported results, no guidance, no price chart
Time to produce	45 minutes

Source material (read ONLY this)

Earnings call Q&A extracts (assigned source: Q&A only)

1. “We continue to see slightly lower ADRs and a slightly shorter length of stay versus the prior year, which may indicate that some consumer segments are continuing to be thoughtful on their discretionary spending” (Ewout Steenberg, CFO).
2. “We see time where we can put money to work that’s going to help build the value of this franchise over the long term, we’re going to do it” (Glenn Fogel, CEO, on marketing spend).

3. *"We have about a 10% decline in customer service cost per booking"* (Ewout Steenbergen, CFO, on AI efficiency).
4. *"That's really complex. And we have over 100 different payment methods, more than 50 currencies"* (Glenn Fogel, on LLM and merchant-of-record integration).
5. *"The contribution of Genius Levels 2 and 3 customers to the overall room nights going up year-over-year"* (Steenbergen).
6. *"The alternative accommodation area is a very important area for us in the future"* (Glenn Fogel, responding to Barclays on growth deceleration there).

Your scoring: fill in below, then seal

1 Sentiment score

Score: -0.35

Rationale. Lower average daily rates and shorter stays point to a cautious consumer, and management is signalling willingness to spend more on marketing to defend the franchise.

2 Directional signal

Signal: SELL

Rationale. Softening pricing plus rising spend intent is the combination markets punish. SELL.

3 Structured summary

- **What the source shows.** AI-driven cost savings and Genius mix shift are the genuine positives.
- **What the source cannot show.** No numbers or guide, so cannot size how much the ADR softness costs.
- **Expectations bar.** Consumer caution flagged by the CFO lands badly against a recovery narrative.
- **Conviction.** Moderate conviction: the demand and spending comments point the same way.

4 Evidence quotes

1. *"We continue to see slightly lower ADRs and a slightly shorter length of stay versus the prior year, which may indicate that some consumer segments are continuing to be thoughtful on their discretionary spending"* (Ewout Steenbergen, CFO).
2. *"We see time where we can put money to work that's going to help build the value of this franchise over the long term, we're going to do it"* (Glenn Fogel, CEO, on marketing spend).
3. *"We have about a 10% decline in customer service cost per booking"* (Ewout Steenbergen, CFO, on AI efficiency).

— SEALED —

Overnight move and call verification

BKNG close, 18 February 2026 (release day)	\$170.80
BKNG open, 19 February 2026	\$163.55
Overnight move	−4.24%

Call verification

- HOLD band test: $|-4.24\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: The move is negative, so the correct directional call is **SELL**.
- Score given vs. correct call: signal was **SELL**, correct call **SELL**, so **CORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	−4.24%
D+1 close	−6.15%
D+3 close	−9.35%
D+5 close	−2.51%
D+10 close	−0.38%
D+20 close	+2.61%